

RBI Holds Repo Rate and Lowers GDP Growth Forecast



Source: TH

Why in News?

In its **June 2026** review, the **Reserve Bank of India's (RBI) Monetary Policy Committee (MPC)** unanimously voted to keep the **policy repo rate unchanged at 5.25%** while revising the FY27 real GDP growth forecast downward to 6.6% and consumer inflation upward to 5.1%, alongside a sweeping suite of joint fiscal and regulatory **measures designed to attract foreign capital and stabilize the domestic currency.**

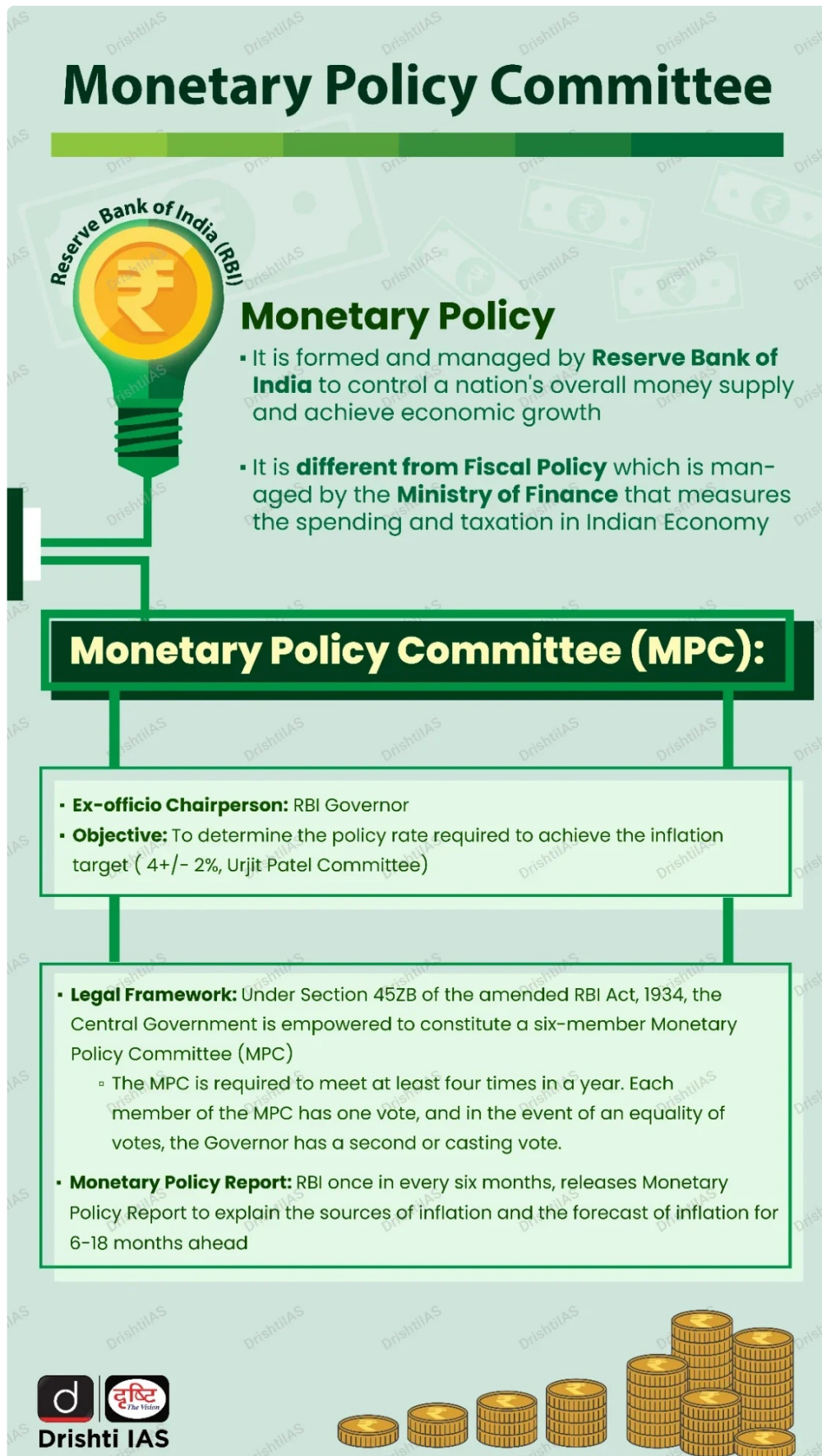
What are the Key Highlights of the RBI's Monetary Policy Committee (June 2026)?

- **Status Quo on Policy Rates:**
 - **Policy Repo Rate:** Retained at 5.25% under the **Liquidity Adjustment Facility (LAF).**
 - **Standing Deposit Facility (SDF) Rate:** Unchanged at 5.00% (acting as the floor of the LAF corridor).
 - **Marginal Standing Facility (MSF) Rate:** Maintained at 5.50% (acting as the ceiling of the LAF corridor).
 - **Bank Rate:** Held steady at 5.50%.
- **Growth Revision:** Projected **Real GDP growth for 2026-27 has been cut to 6.6%** (down from 6.9%).
- **Inflation Projection:** **Headline Consumer Price Index (CPI) inflation forecast has been raised by 50 basis points to 5.1%** for FY27, with **core inflation pegged at 4.7%** .
- **Policy Stance:** The committee decided to continue with its '**Neutral**' stance . This approach keeps the RBI data-dependent, giving it the tactical flexibility to move interest rates in either direction based on incoming macroeconomic indicators without committing to an explicit easing or tightening cycle.

Key Macroeconomic Risks Identified

- **Geopolitical and Input Cost Shocks:** Lingered international conflicts have pushed Indian basket crude oil prices to an average of **USD 110/barrel** during April-May 2026.

- This has increased input costs across industrial plastics, chemicals, and base metals.
- **Climate & Food Uncertainty:** The forecast of a **sub-normal Southwest Monsoon** and emergent **El Niño conditions** has amplified structural risks to agricultural output and rural demand.
- **Second-Round Effects:** The RBI noted that while core pressures are currently manageable, a close vigil is required to **prevent temporary food and energy spikes from embedding into general wages and long-term inflation expectations.**



What Strategic Measures are Being Taken to Attract Foreign Capital and Stabilize the Rupee?

- **LTCG Tax Waiver:** The Government of India has **waived the 12.5% Long-Term Capital Gains (LTCG) tax** and income tax on interest earned by **Foreign Portfolio Investors (FPIs)** on **investments in Government Securities (G-Secs)** , effective retroactively from 1 st April 2026.
 - The measure explicitly aims to insulate the debt market after data revealed that FPIs offloaded over **Rs 2.6 lakh crore in Indian equities** , causing significant **depreciation of the Indian Rupee** , even as they remained net buyers of debt.
- **Expanding the Fully Accessible Route (FAR):** The RBI added **15-year, 30-year, and 40-year tenor G-Secs** , alongside **Sovereign Green Bonds (SGBs)** , into the **FAR framework**, allowing non-residents to invest with **zero quantitative restrictions** .
- **Dismantling General Route Restrictions:** Regulatory caps on short-term investments, concentration limits, and security-wise exposure caps on **FPI investments via the General Route** were completely removed, keeping only the macroscopic ceilings (**6% of outstanding Central G-Secs and 2% of State Government Securities**).
- **Retail Equity Market Liberalization:** Investment limits for **Non-Resident Indians (NRIs)** and **Overseas Citizens of India (OCIs)** in stock-market traded equities without **SEBI registration have been hiked**.
 - This exact parity is also extended to individual **Persons Resident Outside India (PROIs)** under modified **FEMA regulations**.
- **Concessional Forex Swaps:** The central bank will provide **concessional forex swap windows until 30th September 2026** , to subsidize **External Commercial Borrowings (ECBs)** by Public Sector Undertakings (PSUs).
- **FCNR(B) Hedging Subsidy:** Authorized Dealer (AD) banks will receive full hedging cost coverage until 30 th September 2026, for raising fresh **3-to-5-year Foreign Currency Non-Resident (Bank) deposits** .
- **Tightening Trade Realization Timelines:** To secure immediate dollar liquidity inside the banking system, the RBI slashed the mandatory time permitted for the **realization of export proceeds back to 9 months** from the pandemic-era extension of 15 months.
- **Forex Intervention Policy:** Maintaining that the RBI does not target a specific band or level for the exchange rate, the Governor re-emphasized that the massive **foreign exchange reserves buffer** will be actively deployed to **curb excessive volatility and speculative pressures** to preserve orderly market conditions.

Frequently Asked Questions (FAQs)

1. What is the policy repo rate and what decision did the RBI take in June 2026?

The **repo rate** is the rate at which RBI lends short-term funds to commercial banks. In June 2026, the RBI retained it at **5.25%** under the Liquidity Adjustment Facility (LAF).

2. What is the Fully Accessible Route (FAR)?

FAR allows non-resident investors to invest in specified Government Securities without investment limits, thereby enhancing foreign participation in India's debt market.

3. Why did the RBI retain a 'Neutral' policy stance?

A **Neutral stance** provides flexibility to either raise or lower interest rates based on evolving inflation, growth, and financial stability conditions.

4. What measures were announced to attract foreign capital?

Key measures include **LTCG tax exemption on eligible G-Sec investments, expansion of FAR, relaxation of FPI investment restrictions, concessional forex swap facilities, and incentives for FCNR(B) deposits.**

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/gZS7nrXuADE](https://www.youtube.com/embed/gZS7nrXuADE)]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Q. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)? (2017)

1. It decides the RBI's benchmark interest rates.
2. It is a 12-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

- (a) 1 only
- (b) 1 and 2 only
- (c) 3 only
- (d) 2 and 3 only

Ans: (a)

Q. If the RBI decides to adopt an expansionist monetary policy, which of the following would it not do? (2020)

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

- (a) 1 and 2 only
- (b) 2 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: (b)

Q. Which one of the following is not the most likely measure the Government/RBI takes to stop the slide of the Indian rupee? (2019)

- (a) Curbing imports of non-essential goods and promoting exports
- (b) Encouraging Indian borrowers to issue rupee-denominated Masala Bonds
- (c) Easing conditions relating to external commercial borrowing
- (d) Following an expansionary monetary policy

Ans: (d)

Q. Consider the following statements: (2021)

1. The effect of devaluation of a currency is that it necessarily
2. improves the competitiveness of the domestic exports in the foreign markets
3. increases the foreign value of domestic currency
4. improves the trade balance

Which of the above statements is/are correct?

- (a) 1 only
- (b) 1 and 2
- (c) 3 only
- (d) 2 and 3

Ans: (a)

Mains

Q. How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India? **(2018)**

A New Phase in India–Nepal Relations



For Prelims: Kalapani-Lipulekh-Limpiyadhura , Treaty of Sugauli , Kailash Mansarovar Yatra , Surya Kiran , Belt and Road Initiative

For Mains: India-Nepal Relations: Opportunities and Challenges, Impact of Boundary Disputes on India's Neighbourhood First Policy, Strategic Importance of Nepal in India's Security Architecture

Why in News?

Nepal Prime Minister's remarks on the **Kalapani-Lipulekh-Limpiyadhura boundary dispute** , acknowledging that territorial disagreements are not entirely one-sided and that both countries should examine the facts objectively and resolve differences **“amicably as friends”** , coupled with renewed high-level engagement, including the visit of Nepal's Minister for Foreign Affairs to India, signal a potentially more pragmatic phase **India-Nepal relations**.



Summary

- Nepal's new leadership under Balendra Shah is moving from ideological politics towards economic pragmatism, sovereign equality, and diplomatic engagement, creating an opportunity for a more balanced and forward-looking India-Nepal partnership.
- While challenges persist over boundary disputes, China's growing influence, open-border security, and water-sharing issues, both countries can strengthen ties through connectivity, hydropower trade, digital integration, infrastructure development, and sustained diplomatic dialogue.

What is the India-Nepal Boundary Dispute?

- **Treaty of Sugauli (1816):** After the Anglo-Nepalese War, the Kingdom of Nepal and the British East India Company signed the **Treaty of Sugauli in 1816**.
 - The treaty designated the **Kali (Mahakali) River** as Nepal's western boundary but did not clearly identify its source, leading to competing territorial claims.
- **Nepal's Claim:** Nepal argues that the **Kali River originates from the westernmost stream at Limpiyadhura** , placing **Kalapani , Lipulekh , and Limpiyadhura** within its territory.
 - To formalize this claim, Nepal amended its Constitution in **2020** to adopt a revised political map incorporating these areas and later reinforced its position by issuing a new **NPR 100 banknote** featuring the updated map.
- **India's Claim:** India maintains that the river originates near **Kalapani** (east of Limpiyadhura) and

therefore considers the disputed area part of **Pithoragarh district, Uttarakhand** , over which it exercises administrative and military control.

- **Strategic Importance:** The region lies close to China, while **Lipulekh Pass** serves as an important trade route and gateway for the **Kailash Mansarovar Yatra** .

How is Nepal's Approach Towards India Changing?

- **From Ideology to Pragmatism:** Nepal is prioritizing economic gains over political rhetoric, reflected in the agreement to export **10,000 MW of hydropower to India over the next decade** .
- **From "Special Relationship" to Sovereign Equality:** Nepal seeks a more balanced state-to-state relationship with India, emphasizing diplomatic protocol and sovereign parity.
- **A More Rational Approach to Border Disputes:** Kathmandu increasingly views boundary issues as technical and diplomatic matters to be resolved through dialogue rather than nationalist mobilization.
- **Greater Strategic Autonomy:** Nepal aims to pursue an independent foreign policy, relying on historical evidence and diplomacy rather than geopolitical balancing between India and China.

Key Outcomes of Nepal's Minister for Foreign Affairs Visit to India

- **Cross-Border Digital Payments:** India and Nepal launched a **Peer-to-Peer (P2P) linkage** connecting India's **Unified Payments Interface (UPI)** with Nepal's **National Payments Interface (NPI)** , enabling real-time, low-cost cross-border remittances and enhancing financial inclusion.
- **Language Technology Cooperation:** An MoU between **Digital India Bhashini** and **Kathmandu University** aims to develop a voice-first digital language translation platform in Nepal.
- **Judicial Cooperation:** Both countries welcomed the entry into force of the **India-Nepal Mutual Legal Assistance Agreement (MLAA)** in Criminal Matters, strengthening cooperation against cross-border crime.
- **Development Partnership:** India handed over **72 health facilities** and **12 cultural heritage projects** completed under its post-2015 **Earthquake Reconstruction Assistance Programme** in Nepal.

India-Nepal Bilateral Relations

The bilateral relationship between India and Nepal represents a cornerstone of India's **"Neighbourhood First" policy**, characterized by deep-rooted socioeconomic interdependencies, robust security ties, and modernized cross-border infrastructure.

- **Trade and Economic Relations:** India is Nepal's largest trading partner and export destination, while Nepal has emerged as **India's 14th largest export destination in 2024-25 (up from 28th in 2014)**.
 - Nepal exports edible oil, tea, coffee, and jute to India, while relying on India for petroleum products, iron & steel, cereals, vehicles, and machinery.
- **Defense and Security Architecture:** Institutional military trust is anchored by the **Gorkha Regiment of the Indian Army**, which integrates roughly **32,000 Gorkha soldiers from Nepal**.
 - Bilateral combat readiness and interoperability are continuously enhanced through the annual **joint military exercise 'Surya Kiran'**.
- **Cross-Border Connectivity Infrastructures:** Physical integration has scaled up through vital cross-border rail links, notably **Jayanagar - Bijalpura - Bardibas (marking Nepal's first-ever broad-gauge line)**, Jogbani-Biratnagar, and the proposed Raxaul-Kathmandu link.
 - The **Mechi Bridge is an international border crossing** that connects India and Nepal. Spanning the **Mechi River**, it links the **Panitanki Bypass in West Bengal, India**.
 - Additionally, energy transit is secured via the **Motihari (India) to Amlekhgunj (Nepal) pipeline**, which was completed in 2019 as **South Asia's first cross-border petroleum pipeline**.
- **Energy and Digital Integration:** Under a landmark **Power Trade Agreement (2024)**, Nepal is structurally committed to **exporting 10,000 MW of hydroelectricity to India over a 10-year horizon**.
 - Financial technology integration achieved a breakthrough with the operationalization of **cross-border QR payments via UPI interoperability with Nepal's FonePay**.
- **River Basin Management:** Water resources and flood-mitigation architectures are governed by long-standing bilateral treaties on major transboundary rivers, including the **Kosi Agreement (1954), Gandak Agreement (1959)**, alongside cooperation frameworks on the **Karnali and Mahakali (1996) rivers**.
- **Disaster Management and Soft Power:** India consistently serves as the **first responder for Humanitarian Assistance and Disaster Relief (HADR)** in Nepal, demonstrated during the **2015 earthquake** and the Covid-19 pandemic.
 - Cultural synergies are institutionalized through the **Buddhist and Ramayana circuits** under India's **Swadesh Darshan Scheme**, linking spiritual centers like **Lumbini and Janakpur**.

Why is the India-Nepal Relationship Strategically Important?

- **Geographic Buffer:** Nepal acts as a buffer state between India and China, helping shield the Indo-Gangetic plains from potential security threats.

- **Security of the Siliguri Corridor:** Stability in Nepal is crucial for protecting the strategically vital **"Chicken's Neck" corridor** linking mainland India with the Northeast.
- **Open Border Security:** The 1,751-km open border facilitates people-to-people ties but also requires cooperation to **tackle smuggling, illegal migration, and cross-border crime**.
- **Countering China's Growing Influence:** Through the **Belt and Road Initiative (BRI)**, China seeks to expand its presence in Nepal via connectivity and infrastructure projects.
 - For India, strengthening cross-border rail links, and economic connectivity is essential to maintain Nepal's close integration with the South Asian economy and preserve its strategic influence.
- **Water and Energy Security:** Nepal's rivers are vital for flood management in northern India, while its **hydropower potential supports India's clean energy goals**.

What are the Key Challenges Affecting India-Nepal Relations?

- **China Factor:** Nepal's growing engagement with China through the **BRI**, proposed trans-Himalayan railway, and Chinese-funded infrastructure projects such as **Pokhara International Airport** raises strategic concerns for India.
 - In **2015-16**, Nepal accused India of imposing an **unofficial blockade during the Madhesi protests over constitutional representation**, a charge India denied.
 - The episode fueled anti-India sentiment in Nepal and accelerated Kathmandu's efforts to deepen ties with China.
- **Changing Diplomatic Dynamics:** Nepal's new leadership seeks sovereign equality and strict diplomatic protocols, moving away from the traditional "special relationship."
- **Open Border Security Challenges:** The 1,751-km open border facilitates people-to-people ties but also enables smuggling, illegal migration, and cross-border criminal activities.
 - India's **Sashastra Seema Bal (SSB)** regularly intercepts third-country nationals attempting illegal entry into India via the porous Terai plains, turning the open border into a primary route for transnational crime syndicates and the smuggling of **Fake Indian Currency Notes (FICN)**.
- **Water-Sharing and Flood Management Issues:** Despite extensive cooperation, transboundary rivers such as the Kosi, Gandak, and Mahakali remain sources of friction due to disagreements over water sharing, flood control, and project implementation.
 - Delays in the 5,040 MW **Pancheshwar Multipurpose Project** over benefit-sharing and water allocation, along with recurring disputes over Kosi embankment maintenance and allegations of waterlogging in Nepal's Terai region, continue to hinder progress.
- **Media-Driven Nationalism:** Nationalist rhetoric and media narratives often inflame disputes, as seen in controversies surrounding Nepal's **NPR 100 currency note featuring disputed territories**.

What Measures Can Strengthen India-Nepal Relations?

- **Modernize Bilateral Frameworks:** Officially review the **Eminent Persons Group (EPG) report on Nepal-India relations** and update the **1950 Treaty of Peace and Friendship**, particularly provisions viewed in Nepal as inconsistent with sovereign equality.
- **Address the Infrastructure Delivery Deficit:** Ensure timely completion of flagship projects such as

- the **Arun-III Hydropower Project** , cross-border rail links, and the **Motihari-Amlekhgunj petroleum pipeline expansion** to enhance India's development credibility.
- **Depoliticize the Boundary Dispute:** Empower the **Boundary Working Group (BWG)** and Foreign Secretary-level mechanisms to address **Kalapani-Lipulekh-Limpiyadhura** issues through technical dialogue while resolving remaining border demarcation issues in agreed sectors.
 - **Transform Water Cooperation into Shared Development:** Fast-track the **Pancheshwar Multipurpose Project** , improve flood-management coordination on the Kosi and Gandak rivers, and develop transparent benefit-sharing mechanisms.
 - **Expand Energy Partnership:** Operationalize the long-term agreement for Nepal's export of **10,000 MW of hydropower to India** , while strengthening cross-border transmission infrastructure.
 - **Promote People-to-People and Institutional Ties:** Leverage the open border, cultural linkages, educational exchanges, and the unique military relationship between the Indian and Nepalese armies to build long-term trust.
 - **Respect Nepal's Sovereign Sensitivities:** Shift from the traditional "special relationship" framework towards a partnership based on mutual respect, non-interference, and sovereign parity.
 - **Counter External Influence Through Connectivity, Not Competition:** Deepen economic integration through railways, ICPs, energy grids, and digital connectivity, ensuring that India remains Nepal's most reliable development and economic partner.

Conclusion

The rise of a pragmatic, Gen-Z political leadership in Nepal offers New Delhi a unique opportunity to reset bilateral ties. By stripping away emotional historical baggage, respecting Nepal's demand for absolute sovereign equality, and focusing relentlessly on economic integration, India can forge a modernized, sustainable partnership that secures its strategic interests in the Himalayas.

Drishti Mains Question:

The future of India-Nepal relations lies in economic pragmatism rather than historical sentiment. Discuss.

Frequently Asked Questions (FAQs)

1. What is the origin of the India-Nepal boundary dispute?

The dispute arises from differing interpretations of the **1816 Treaty of Sugauli** , particularly regarding the source of the Kali (Mahakali) River, affecting claims over Kalapani, Lipulekh, and Limpiyadhura.

2. Why is Lipulekh strategically important?

Lipulekh Pass is a key trade corridor near the India-China-Nepal tri-junction and serves as an important route for the **Kailash Mansarovar Yatra** .

3. What is the significance of the India-Nepal open border?

The **1,751-km open border** promotes trade, employment, and people-to-people ties but also poses challenges related to smuggling, illegal migration, and cross-border crime.

4. How does hydropower cooperation strengthen India-Nepal relations?

The agreement for Nepal to export **10,000 MW of electricity to India** enhances Nepal's economic growth while contributing to India's clean energy and energy security objectives.

5. Why is the Pancheshwar Multipurpose Project important?

Envisaged under the **Mahakali Treaty (1996)** , the project aims to provide hydropower generation, irrigation benefits, and flood control, making it a cornerstone of India-Nepal water cooperation.

6. How is China's growing presence influencing India-Nepal relations?

Chinese investments under the **Belt and Road Initiative (BRI)** , including connectivity and infrastructure projects, have intensified strategic competition and influenced Nepal's foreign policy choices.

[Watch Video on YouTube:

▶ <https://www.youtube.com/embed/5acTXtvx-EA>

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UPSC Civil Services Examination Previous Year Question (PYQ)

Prelims

Q. Consider the following statements about river bridges connecting India withneighbouringcountries: (2026)

1. 'Maitri Setu', built over Feni river, connects Ramgarh in India with Sabroom in Bangladesh.
2. Jhulaghat suspension bridge connects India with Myanmar.
3. Mechi bridge and its approaches connect Panitanki Bypass in India with Kakarvitta in Nepal.

Which of the statements given above is/are correct?

- (a) 1 and 2
- (b) 2 and 3
- (c) 1 only
- (d) 3 only

Ans: (d)

Q. Consider the following statements: (2020)

1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. "Textile and textile articles" constitute an important item of trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia.

Which of the statements given above is/are correct?

- (a) 1 and 2 only
- (b) 2 only
- (c) 3 only
- (d) 1, 2 and 3

Ans: (b)

Mains

Q. How far are India's internal security challenges linked with border management, particularly in view of the long porous borders with most countries of South Asia and Myanmar? (2013)

M1xchange: Trade Receivables Discounting System



M1xchange is a pivotal **Reserve Bank of India (RBI)** -approved digital marketplace operating under the **Trade Receivables Discounting System (TReDS) framework** , designed to address the chronic working capital constraints of Indian MSMEs through transparent, multi-financier invoice discounting.

- **Regulatory Framework:** Authorized by the **RBI in 2015** and established under the **Payment and Settlement System (PSS) Act, 2007** .
- **TReDS** : An RBI-regulated electronic platform in India that enables MSMEs to get **quick working capital** by discounting their invoices raised on large corporates and government buyers.
- **Operational Mechanism:** M1xchange functions as a unified electronic platform connecting three key stakeholders: **MSMEs (Suppliers)** , **Large Corporates/PSUs/Govt. Departments (Buyers)** , and **Banks/NBFCs (Financiers)** .
- **Risk Mitigation:** Provides **collateral-free, non-recourse financing** , protecting MSMEs from buyer default risk. The risk of non-payment is borne by the financier, ensuring **off-balance-sheet funding** for MSMEs.
- **Competitive Discovery:** Employs an open bidding model where Nationalized, Private, and Foreign banks compete, ensuring MSMEs receive the **lowest and most competitive interest rates** .
- **Mandatory Compliance:** The Department of MSME has mandated **TReDS registration for all companies with a turnover exceeding INR 250 crores** and all Central Public Sector Enterprises (CPSEs), monitored by the Registrar of Companies (RoC).
- **Stakeholder Benefits:**
 - **MSMEs:** Rapid **disbursement (often within 24 hours)** , early payment, and off-balance-sheet funding.
 - **Corporates** : Reduced procurement costs via improved vendor negotiation.
 - **Financiers:** Ability to seamlessly build their **Priority Sector Lending (PSL)** asset portfolio.
- **Technological Edge:** Facilitates an **end-to-end paperless, 100% secure digital onboarding** and transaction process, ensuring the authenticity of all underlying invoices.
- **M1NXT ITFS:** M1xchange has launched **M1NXT ITFS** in **GIFT City** (Gujarat), India's first International Trade Financing Services (ITFS) platform, to provide Indian MSMEs access to global factoring and trade finance services.
 - The platform enables **foreign banks and international financiers** to offer working capital financing to Indian MSMEs at competitive rates, bringing global liquidity into the MSME ecosystem.

Read more: [Scaling India's MSME Growth](#)

Kerala Launches India's 1st Judiciary-Integrated Wildlife Crime System



Source: [TH](#)

Recently, the **Kerala Forest Department** launched the **e-court integration feature** for its **HAWK** (Hostile Activity Watch Kernel) system, making Kerala the first State in India to achieve a fully digitised, judiciary-integrated wildlife offence management system.

- **HAWK:** HAWK is a **cloud-based information management system** that maintains interlinked databases of wildlife crimes, offenders, and wildlife mortality, **offering ecological intelligence** and comprehensive case management support to forest officials.
 - The system was developed to **track repeat offenders**, centralise data, and **eliminate information gaps across the state** for more effective wildlife crime monitoring and prevention.
- **Development:** HAWK was developed collaboratively by the **Kerala Forest Department and the Wildlife Trust of India (WTI)** . Its development began in 2017, officially launched in Kerala in 2019, and later expanded to Karnataka (2022), Tamil Nadu (2025), and Odisha (2025).
- **E-Court Integration:** The system now integrates digitally with the judiciary via an **Application Programming Interface (API)**, eliminating paper-based submissions and enabling real-time tracking of case files, from **Preliminary Offence Reports (POR)** to court verdicts and witness testimonies.
- **Scalability & Customisation:** The Enterprise Resource Planning(ERP)-model system is **modular and scalable**, allowing states to adapt it to their procedural needs, regional languages, and evolving requirements, while maintaining a **unified centralised database** .



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Launch of
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HAWK

Hostile Activity Watch Kernel

India's 1st
Centralised Wildlife Crime Management System

HAWK is a first-of-its-kind digital platform launched by Kerala to strengthen wildlife crime investigation, prosecution, and ecological intelligence through judiciary integration.

Read More: [A Wake-Up Call for India's Wildlife Governance](#)

VB-GRAM G Scheme



Source: [TH](#)

Recently, the Union Rural Development Minister announced an interim allocation of **₹95,692 crore** for the **Viksit Bharat Guarantee for Rozgar and Ajeevika Mission Gramin (VB-GRAM G)** to ensure a seamless transition from MGNREGS.

- **VB-GRAM G:** The Viksit Bharat Guarantee for Rozgar and Ajeevika Mission Gramin is the new rural employment and livelihood scheme that replaced the **Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS)** and will come into force from **1st July 2026**.
- **Employment Guarantee:** The scheme provides **125 days of guaranteed wage employment** in a financial year to every rural household whose adult members volunteer to undertake unskilled manual

work. It also mandates **timely wage payments within 15 days** of completion of work.

- **Funding:** The funding structure is designed according to state capacity, with a **60:40 Centre-State ratio, 90:10 for Northeastern and Himalayan states, and full (100%)** central funding for Union Territories without legislatures.
- **Funding Formula:** The final distribution formula is expected to be notified on **1st July 2026**. The draft rules propose using the **16th Finance Commission's horizontal devolution formula** to determine Central allocations to States.
- **60-Day Agricultural Pause:** State governments can notify a combined **60-day no-work period during peak sowing and harvesting seasons** to prevent agricultural labour shortages while ensuring workers still receive 125 days of employment during the remaining part of the year.
- **Decentralised and Spatial Planning:** The Act mandates preparation of Viksit Gram Panchayat Plans using spatial technologies such as the **Yuktdhara portal** and integration with national planning platforms like **PM Gati Shakti**.
- **Significance:** VB-GRAM G aims to ensure rural employment security, livelihood support, asset creation and continuity of work while shifting from the MGNREGS framework to a new rural employment model.

What makes Viksit Bharat-G RAM G better than MGNREGA?

MGNREGA	Viksit Bharat-G RAM G
100 days of wage employment per rural household	125 days of wage employment per rural household
Multiple and scattered categories of works with limited strategic focus	4 clearly defined priority areas focusing on water security, rural infrastructure, livelihoods and climate resilience
Center bears unskilled wage costs, states bear unemployment allowance	State cost-sharing for wages, 60:40 for most states, 90:10 for certain special-category regions
No explicit statutory "pause window"	States can notify up to 60 days in a FY when work will not be executed
Demand based funding with unpredictable allocations	Normative funding ensuring predictable budgeting while protecting the employment guarantee
Gram Panchayat planning is central	Integrates institutionalised convergence and infrastructure planning

Source: Ministry of Rural Development

Read More: [Draft Rules for VB-G RAM G](#)